

Time Segmentation

The Financial Planning Association (FPA) divides retirement income strategies into three categories: systematic withdrawals, time-based segmentation, and essential-versus-discretionary income. Thus far, we have focused on systematic withdrawal strategies. Their defining characteristic is that rules are used to take distributions in a systematic manner from an investment portfolio designed with a total-returns perspective. Spending may come from both the income generated by the portfolio and the spenddown of principal. At the other extreme, the essential-versus-discretionary approach incorporates lifetime income guarantees through annuitization. Annuities extend beyond our scope here; they will be my focus in a subsequent volume. We now turn our attention to time-based segmentation, or time segmentation.

Time segmentation differs from systematic withdrawals in that fixed-income assets are held to maturity to guarantee upcoming retiree expenses over the short and medium term. A growth portfolio is also built with more volatile assets having higher expected returns, to be deployed to cover expenses in the more distant future. This is not total-returns investing, since different investing strategies are used to cover different time horizons. Time segmentation also differs from essential-versus-discretionary because it does not build a lifetime income floor. Rather, there is an income front end with contractual protections. The assumption is that people have not saved enough to immunize their entire lifetime of spending. Importantly, time segmentation also accounts for the fact that spending needs may change, and this requires flexibility and the avoidance of irreversible decisions.

Defining time segmentation as it is used in practice is challenging. Time segmentation, also known as bucketing, is used by countless financial advisors, each of whom tends to define their process in a unique way. Differences can be found with regard to the number of time segments and their respective lengths, the choice of asset classes used within each segment, whether individual bonds are used in place of bond funds, the degree to which the overall asset allocation is allowed to change over time, and how and when the different segments are further extended as time passes. These issues may not always be addressed, and critics of time